



WARWICK BUSINESS SCHOOL
THE UNIVERSITY OF WARWICK

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Question Attempted	1. Pick a company of relevance and interest to you. Drawing on a range of available reports, data and information sources, identify the company's stakeholders and evaluate how the company prioritises them in terms of their respective levels of influence and impact. Incorporate quantitative and qualitative assessments as well as academic theories and relevant concepts to support your arguments. Assess how effectively the company manages its different stakeholders and provide recommendations on how the company might improve its engagement (2,000 words). 2. With reference to all taught sessions and module materials, critically reflect on the lessons learnt from this module for your own career development and your personal insights for your role as future managers. What are the implications for leading organisations in the 21st century (1,000 words)?
Have you used Artificial Intelligence (AI) in any part of this assignment?	Yes
If you have ticked "Yes" above, please briefly outline below which AI tool you have used, and what you have used it for. Please note, you must also reference the use of generative AI correctly within your assessment, in line with the guidance provided in your student handbook. I have used artificial intelligence tools strictly for research support and content enhancement. ChatGPT was used to assist in gathering background information, clarifying concepts, and structuring ideas. Additionally, Gemini was used solely to generate one visual element, a Power-Interest Matrix image, which was customised for Danone based on my own understanding and analysis. All critical thinking, interpretation, and final content presented in this work are my own.	

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Part 1

Balancing Purpose, Profit and Power: A Critical Evaluation of Stakeholder Prioritisation in Danone

Stakeholder Analysis and Evaluation: Danone

Danone represents a particularly compelling case in terms of the analysis of stakeholder priority because the firm has been committed to combining economic and social goals, encapsulated in its purpose of “bringing health through food to as many people as possible”. These commitments are formalized through the application of the Danone Impact Journey strategy, which involves the alignment of three interrelated dimensions, namely, health, nature, and people and communities. This approach aligns with the Triple Bottom Line framework (Elkington, 1997), which emphasises the simultaneous pursuit of economic, social, and environmental value creation. The chosen approach makes Danone is consistent with the general trends in stakeholder capitalism; at the same time, it poses the issue of feasibility for an open company.

On the theoretical level, the stakeholder theory (Freeman, 1984) forms a foundational framework for understanding how firms should create value for multiple stakeholder groups. Unlike shareholder primacy models, stakeholder theory argues that long-term organizational success depends on balancing the interests of all stakeholders. The stakeholder approach is reflected in the structure of governance of Danone in the form of its status of “Société à Mission.” However, resource dependence theory (Pfeffer and Salancik, 1978) provides a more critical view, arguing that the firm continues to depend on those people who have control over scarce or critical resources, particularly capital providers. In effect, despite normative obligations to the stakeholders, firms like Danone may continue to cater to the needs of investors due to their dependency structure.

To analyze the stakeholder environment of Danone, it is necessary to identify its important stakeholders along with their power and influence. Some of these stakeholders include institutional investors, consumers and patients, employees, suppliers, especially small farmer suppliers, government/regulatory bodies and NGOs/Civil Societies. These stakeholders perform different roles for value creation but their power to influence corporate decisions differs significantly.

An in-depth examination of Danone’s dealings with its suppliers will bring out some fundamental constraints in its sustainability strategy. Even though Danone is keen on fostering lasting relationships with its suppliers and engaging in regenerative agriculture, the success of such activities relies strongly on the ability of the farmers involved to embrace innovative methods. Most farmers are small-scale operators who have financial challenges and cannot

afford the costs of sustainable technology. This results in an inconsistency between Danone's expectations and what is feasible.

Danone is passionate about empowering its employees and cultivating a sense of purpose among them. However, it is arguable that the influence of employees on the decision-making process remains low. This scenario is typical of stakeholder management, where the input from employees in value creation is significant yet minimal when it comes to power allocation.

Stakeholder	Role	Nature of Relationship	Power/Influence Insight
Investors / Shareholders	Provide capital and governance influence	High control over strategic direction	Dominant stakeholders due to control over financial resources, consistent with resource dependence theory
Consumers & Patients	Drive demand and revenue	Increasingly sustainability-oriented	High influence as consumer preferences shape product portfolio and strategy
Suppliers (Farmers)	Provide key agricultural inputs	Central to ESG commitments	High operational importance but limited bargaining power
Employees	Deliver operations and organisational culture	Linked to purpose execution	High interest but limited formal power
Governments / Regulators	Define legal frameworks	Enforce ESG and health standards	High coercive power
NGOs & Civil Society	Monitor ESG performance	Exert reputational pressure	Indirect influence through legitimacy

Table 1: Stakeholder Roles and Influence in Danone

The table demonstrates that although there are several stakeholders who create value, the extent of their influence varies. The investors and customers have undue influence on the results of strategic actions, while the suppliers and employees, even though they play an important role in the process of operations, do not have much power in decision making. This asymmetry reflects broader structural dynamics in corporate governance, where influence is closely tied to resource control.

Danone's stakeholders can be further analysed using a power–interest matrix, which provides a visual representation of stakeholder prioritisation.

The relative influence and interest of these stakeholders can be further analysed using a power–interest matrix (Figure 1).



Figure 1: Power–Interest Matrix of Danone's Stakeholders

As illustrated in Figure 1, stakeholder power is unevenly distributed, with investors and regulators occupying dominant positions, while operational stakeholders remain comparatively marginal.

The matrix highlights that institutional investors and consumers occupy the “key players” quadrant, reflecting their high levels of both power and interest. Investors influence the company's strategy through financing, while consumers shape demand and brand positioning. Conversely, suppliers and the local community, despite being heavily affected by corporate actions, have considerably low degrees of power. Thus, there is a discrepancy between the parties that are most affected by the corporate actions and those that can affect the company the most.

This imbalance can be further explained using the stakeholder salience model, which evaluates three dimensions – power, legitimacy, and urgency (Mitchell, Agle and Wood, 1997). In this respect, institutional investors are seen as primary stakeholders since they combine all these characteristics. Other stakeholders, such as the local community or smallholder farmers, do not have enough power despite their legitimacy and urgency to become salient. As a result, in practice, the stakeholder prioritization is different from what theoretical stakeholder management suggests.

Stakeholder Engagement in Practice

Danone is an organization that shows an advanced way of engaging stakeholders, specifically consumers and patients. The organization's strategy for promoting health and nutrition is evident through its product lines because about 89% of its volume comprises healthy products and those meant for everyday use. This transformation represents a significant shift towards health-oriented products, aligning with consumer demand for healthier and more sustainable options. Nutritional labelling and product reformulation have made it possible for consumers to make decisions regarding their products.

From the perspective of Creating Shared Value (Porter and Kramer, 2011), these initiatives illustrate how Danone integrates social impact into its core business model. By addressing public health challenges such as nutrition and access to healthy food, Danone simultaneously enhances its competitive advantage. This suggests that, at least in relation to consumers, stakeholder engagement is both strategic and substantive.

On the other hand, there seems to be more uncertainty surrounding the effectiveness of stakeholder engagement in relation to other stakeholders. This is because while Danone commits to regenerative agriculture, for example, such a commitment is contingent on the actions of actors that exist beyond the immediate scope of influence and control that the company has. This results in a governance gap whereby there exists responsibility that does not go hand in hand with authority.

This issue is particularly significant given the centrality of agriculture to Danone's environmental impact. While the company positions itself as a leader in sustainable food systems, its reliance on external actors introduces uncertainty regarding the effectiveness of its initiatives. This highlights a broader limitation of stakeholder engagement strategies, where firms may set ambitious targets but lack the mechanisms to ensure implementation across complex value chains.

A similar situation arises when it comes to employee engagement. Danone has reported multiple programs focused on employee well-being, training, and human rights. Such programs support the positioning of the company in terms of its purposes and contribute to organizational culture. However, at the same time, it is certain that employees still have rather little decision-making power. It should be said that despite the importance of their roles in implementing the strategy, they are not positioned as major stakeholders in the governance process.

Governance dynamics further reinforce these structural constraints. Changes in Danone's executive leadership highlight the influence of financial performance and investor expectations in shaping strategic decisions. While the company emphasizes purpose and stakeholder

value, leadership changes suggest that financial considerations remain central. This supports the argument that stakeholder-oriented commitments are mediated through shareholder-driven governance structures.

Critical Evaluation of ESG Frameworks

The ESG reports of Danone are closely aligned with the existing frameworks like the GRI and SASB. Such ESG reports aim at enhancing corporate transparency and accountability and, thereby, allowing stakeholder assessment of firm performance. Nevertheless, these ESG frameworks have faced much criticism within academia.

Berg et al. (2022) highlight substantial divergence in ESG ratings across agencies, suggesting that ESG metrics lack consistency and comparability. Consequently, such metrics can hardly serve as a reliable means of assessing stakeholder performance. It should be noted that Danone's highly developed ESG disclosure policy goes hand-in-hand with problems in supply chain governance and, therefore, lacks reliability.

Furthermore, the emphasis placed by these frameworks on reporting activities, as opposed to results, is another drawback of the ESG framework. While Danone provides a great deal of information on its efforts to improve sustainability, it is unclear how successful these efforts have actually been.

While Danone's disclosures include detailed quantitative indicators, these largely measure internal performance outputs rather than external societal outcomes, raising fundamental questions about whether ESG reporting can genuinely capture real-world impact or merely reflect managerial intent.

Another limitation revolves around the involvement of external entities. For many of Danone's sustainability goals related to agriculture and greenhouse gas emissions, for example, the actions of third parties play an important role. As such, there is a certain element of unpredictability involved, given that the company cannot fully predict what other parties will do. Thus, in this case, ESG initiatives can be seen not so much as concrete practices, but rather aspirations. This limitation is not unique to Danone; similar patterns are observable in large multinational food corporations such as Nestlé, where sustainability commitments coexist with ongoing scrutiny over supply chain practices, reinforcing broader concerns regarding the credibility and effectiveness of ESG reporting across the industry.

In conclusion, we must also discuss the limitation posed by the principle of shareholder primacy. Even though Danone's mission emphasizes stakeholder capitalism, it is important to note that at the end of the day, the company still must answer to its shareholders. Thus, the company still faces conflicting priorities associated with both sustainability and performance.

Recommendations

To enhance the effectiveness of its stakeholder management, Danone must move beyond broad commitments towards more structurally embedded and measurable practices.

First, it is necessary for the firm to improve its governance mechanisms at the supply chain level by matching responsibility with capability. While the company focuses a lot on regenerative agriculture and sustainable sourcing, these initiatives are highly dependent on the farmers, who often lack the financial and technical resources to implement required changes. Danone should therefore provide targeted financial incentives, long-term contracts, and technical support to suppliers, ensuring that sustainability expectations are matched by operational feasibility. This would reduce the current governance gap and enhance accountability across the value chain.

Second, the firm needs to adopt outcome-based ESG measures to improve the credibility and transparency of its sustainability reporting. At the moment, the firm only discloses internal performance indicators, which do not reflect much about its impact on stakeholders. Through the adoption of outcome-based ESG metrics that measure actual social and environmental outcomes, such as improvements in farmer livelihoods or reductions in ecosystem degradation, the firm will be able to overcome limitations associated with ESG. This will, however, increase risks, since it will need a more sophisticated information gathering system.

Third, Danone must consider enhancing stakeholder involvement in governance, especially for employees and local communities. While these groups are central to value creation, they remain underrepresented in strategic decision-making. Introducing formal mechanisms such as employee representation on boards or stakeholder advisory panels would help rebalance power dynamics and align decision-making more closely with stakeholder interests. Yet this might make the decision-making process slower and even increase internal conflicts among different stakeholder groups, which requires careful consideration.

Finally, to integrate stakeholder prioritization into its corporate strategy, Danone must manage the inherent conflict between financial interests and social responsibilities and communicate openly about the trade-offs involved. By transparently communicating these trade-offs, Danone can enhance its credibility and demonstrate a more realistic and accountable approach to stakeholder capitalism.

Part 2

Rethinking Purpose, Impact and Leadership: A Critical Reflection on Managing Stakeholders in the 21st Century

Critical Reflection: Purpose, Impact, and Profits

The current module has completely transformed my outlook on the nature of business and its functions within society. Before embarking on the module, I assumed that businesses could find a way to harmonize their purpose, impact, and profits. Yet, after studying academic literature and analysis of Danone, I have developed a more critical perspective on the feasibility of this approach.

The stakeholder theory (Freeman, 1984) initially appeared to offer a compelling alternative to shareholder primacy, suggesting that firms could align economic success with social impact. However, applying this framework to Danone revealed important limitations. While the company explicitly positions itself as purpose-driven, its continued dependence on investors highlights the constraints identified by resource dependence theory (Pfeffer and Salancik, 1978). This has led me to reconsider stakeholder theory as an aspirational model rather than a fully achievable reality.

The module also deepened my understanding of corporate purpose. Concepts such as Creating Shared Value (Porter and Kramer, 2011) and net positive business (Polman and Winston, 2021) present an optimistic vision of business as a force for good. However, my analysis suggests that these frameworks may underestimate the structural constraints faced by firms. In practice, organizations must navigate competing stakeholder demands, and their ability to deliver on purpose is shaped by broader economic and institutional factors.

Reflecting on my own development, I recognize a shift from an idealistic to a more analytical perspective. I am now more aware of the importance of critically evaluating corporate claims, particularly in relation to sustainability and stakeholder engagement. This has significant implications for my future career, where I intend to adopt an evidence-based approach to decision-making.

Another key learning relates to the role of governance and leadership. Effective stakeholder management requires navigating trade-offs between competing interests, which cannot always be reconciled. Leaders must make difficult decisions, balancing short-term financial performance with long-term societal impact. The case of Danone illustrates that even purpose-driven organizations face these challenges, highlighting the importance of transparency and accountability.

This also led me to reflect on the political and institutional environment that ESG functions within. The module made me realize that the use of ESG is not only a technical exercise, but also a contested one, being affected by regulatory pressure, market forces, and the expectations of society. I began to understand that ESG metrics are influenced by what is measurable and reportable, rather than what is necessarily most impactful. This realization challenged my earlier assumption that sustainability performance could be objectively assessed and instead highlighted the importance of critically engaging with the underlying assumptions and limitations of such frameworks.

In addition, the module emphasised that effective stakeholder management requires not only balancing interests but also making explicit trade-offs. I previously assumed that conflicts between stakeholders could be resolved through better management or communication. However, I now recognise that many of these conflicts are structural and cannot be fully eliminated. For example, decisions that prioritise environmental sustainability may increase costs, affecting consumers or reducing shareholder returns. As a future manager, this insight is particularly important, as it highlights the need to make difficult decisions while maintaining transparency and accountability.

Moreover, the module has helped me understand the significance of being reflexive in management. By using reflective techniques like Gibbs' cycle, I have been able to critically reflect on the assumptions that I had as well as my learning experience. Through this structured method of reflection, I am better equipped to deal with difficult situations.

Another key insight from this module is the importance of adaptability in leadership. The rapidly changing expectations placed on businesses require leaders to continuously reassess their strategies and stakeholder relationships. Static approaches to stakeholder management are no longer sufficient in an environment characterized by uncertainty and complexity. Instead, leaders must be able to respond to evolving societal expectations, regulatory changes, and emerging risks. This requires a mindset that is both flexible and critically informed, enabling managers to navigate ambiguity while maintaining a clear sense of organizational purpose.

Finally, this module has reinforced the idea that business cannot be understood in isolation from its broader societal context. Organizations exist within complicated systems that are affected by various forces including economic, political, and social factors. As a result, stakeholder management is not simply a matter of organizational choice but is influenced by external constraints and power dynamics. This perspective has fundamentally changed how I view the role of business in society.

In conclusion, this module has significantly transformed my perception of the relationship between purpose, impact, and profit. I now recognize that stakeholder management involves

navigating inherent tensions rather than achieving perfect alignment between competing interests. This new approach, characterized by critical thinking and reflection, will shape my management style in the future, prompting me to base my decisions on evidence and uphold accountability and ethical standards. Ultimately, the module has equipped me with the analytical tools and mindset required to lead effectively in the complex and evolving business environment of the 21st century.

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